

ECON 300 – Labour Economics

Quiz 5

April 07, 2026

1. A country admits **420,000** immigrants in one year. They are divided into three categories:
 - Economic immigrants: **189,000**
 - Family-class immigrants: **147,000**
 - Refugees and humanitarian immigrants: **84,000**
 - (a) Calculate the percentage share of each category in total immigration.
 - (b) Next year, the government increases economic immigrants by **18%**, reduces family-class immigrants by **8%**, and leaves refugees/humanitarian immigrants unchanged. Calculate the new number in each category and the new total number of immigrants.
 - (c) Under the new totals, calculate the new percentage share of economic immigrants.
2. In a labour market, the working-age population is **6,800,000**. Initially:
 - Labour force participation rate = **67%**
 - Unemployment rate = **6.5%**
 - (a) Calculate the size of the labour force.
 - (b) Calculate the number of unemployed workers.
 - (c) Calculate the number of employed workers.
 - (d) Calculate the employment rate.

Now suppose that during a recession:

- **52,000** employed workers lose their jobs and begin searching
 - **36,000** unemployed workers become discouraged and leave the labour force
 - **18,000** people previously out of the labour force enter the labour force and immediately begin searching for work
- (e) Calculate the new number of unemployed workers.
 - (f) Calculate the new labour force.
 - (g) Calculate the new unemployment rate. Briefly state whether the unemployment rate fully reflects the deterioration in labour market conditions.

3. Two countries, A and B, each have a labour force of **12,500,000**.

- Country A has an unemployment rate of **5.6%**
- Country B has an unemployment rate of **5.6%**

However, the composition of unemployment differs:

- In Country A, **14%** of the unemployed have been unemployed for **12 months or more**
- In Country B, **41%** of the unemployed have been unemployed for **12 months or more**

- (a) Calculate the number of unemployed workers in each country.
- (b) Calculate the number of long-term unemployed workers in each country.
- (c) Calculate the long-term unemployment rate in each country as a percentage of the labour force.
- (d) Both countries have the same overall unemployment rate. Explain briefly why Country B may still have a more serious labour market problem.